

D. Results for "Normal Period" 1925-1930:

Average earnings for total capitalization of Baldwin		
Locomotive works	about \$2,900,000	
Average earnings for common stock and warrants		
of Baldwin	824,000	
Average earnings per share of Baldwin common (assuming		
warrants exercised and 6% earned on the amount received		
by the company)	\$0.73	
Maximum earnings per share of Baldwin		
common (as adjusted)	\$3.17	
Average earnings per share of Beatrice		
common	\$6.59	
Maximum earnings per share of Beatrice		
common	\$7.31	

Note: Owing to the continuous expansion of Beatrice Creamery between 1925 and 1932, involving the issuance of additional shares, the earnings *per share* of common must be considered as more significant than the amounts earned for the common stock as a whole.

E. Balance Sheet Figures (Dec. 31, 1932):

Item	Baldwin	Beatrice
Current assets	\$13,900,000	\$9,410,000
Current liabilities	1,200,000	748,000
Net current assets	\$12,700,000	\$8,662,000
Tangible asset value per share of common	\$26.50	\$48.75

Note: Baldwin's working capital figures are adjusted to exclude the interest of the Midvalc Company minority stockholders. The asset value of Baldwin common is adjusted on the assumption that the warrants are exercised. The asset value of Beatrice common has not been adjusted for a write-down of fixed assets in 1933, the amount of which had not been reported.

A study of these quantitative exhibits yields no reason to believe that Baldwin Locomotive common stock is intrinsically attractive at about \$11 per share. The only markedly favorable items are the earnings of the single year 1926, and the book value; but neither of these may be considered particularly significant. Superficially, the issue appears to possess a factor of "leverage," or speculative capitalization structure, based upon the presence of a large amount of senior securities.